EQUITY RESEARCH · COMPANY DEEP DIVE

Applied Materials, Inc. (AMAT.US)

SELL
Blended Target: $353.94
DCF + Comps + Analyst (see cross-check table)
Implied upside: -40.0%

Technology · Semiconductor Equipment & Materials
Large Cap (>$200B) · Report Date: June 15, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-15

Price (Jun): $589.90

INVESTMENT HIGHLIGHTS

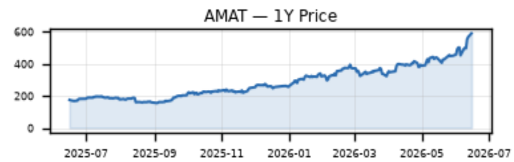
- **SELL** — blended target $353.94 (-40.0% vs $589.90); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Applied Materials, Inc. (AMAT) — Technology. Applied Materials, Inc. provides materials engineering solutions, equipment, services, and software to the semiconductor and related industries in the... **SELL** rating; blended target $353.94. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$468.36B	Shares Out.	794.0M
52-Week Range	$154.47 – $599.52	P/E (TTM)	55.6x
P/B	19.6x	Beta	1.67
Avg Volume	7.23M	Analyst Rec.	Buy
Revenue (TTM)	$29.02B	Rev Growth	+11.4%
Op. Margin	31.9%	FCF (TTM)	$5.70B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	27,176	28,368	31,602	34,361	36,718
Revenue Growth (%)	N/A	4.4%	11.4%	8.7%	6.9%
Net Income ($M)	7,177	6,998	7,796	8,476	9,058
Net Income Growth (%)	N/A	-2.5%	11.4%	8.7%	6.9%
Gross Margin (%)	47.5%	48.7%	49.0%	49.0%	49.0%
Net Margin (%)	26.4%	24.7%	24.7%	24.7%	24.7%
ROE (%)	37.8%	34.3%	38.2%	37.7%	38.3%
EPS ($)	9.04	8.81	9.82	10.68	11.41
Book Value / Share ($)	23.93	25.71	25.71	28.35	29.77
P/E (x)	65.26	66.93	60.08	55.26	51.71
P/B (x)	24.65	22.94	22.94	20.81	19.82
Dividend Yield (%)	37.0%	37.0%	37.0%	37.0%	37.0%

Page 2 of 2 · Applied Materials, Inc. (AMAT) · Valuation · Industry · Peers · Data as of 2026-06-15 · Q4 FY2025

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	$117.08	-80.2%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Comps — P/E (peer median)	$276.59	-53.1%	—	Peer median P/E 26.1x
Comps — EV/EBITDA (peer median)	$269.20	-54.4%	—	Peer median 21.4x
Comps — P/S (peer median)	$366.26	-37.9%	—	Peer median P/S 10.0x
Comps — Blended (avg. of available multiples)	$276.59	-53.1%	0% (excluded)	Anchor multiple-based value
Analyst consensus (Yahoo Finance)	$517.28	-12.3%	0% (excluded)	Diverges above other methods (187% of median)
Blended target (weighted)	$353.94	-40.0%	100%	Median / single method
Audit (≥30% vs price)	—	—	—	Target capped at ±40% vs price (model dispersion)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	13.20%
Terminal g	4.00%
FCFE growth	11.61%
Base FCFE	$5.70B
PV explicit (5Y)	$29.06B
PV terminal	$63.90B
Equity value (adj.)	$92.96B
Implied price	$117.08
vs. current	-80.2%

INDUSTRY ANALYSIS

1. Industry Overview
Applied Materials, Inc. provides materials engineering solutions, equipment, services, and software to the semiconductor and related industries in the United States, China, Korea, Taiwan, Japan, Southeast Asia, Europe, and internationally. The company operates through Semiconductor Systems and Applied Global Services (AGS) segments. The Semiconductor Systems segment includes semiconductor...

2. Key Trends
• Moderate revenue expansion (11.4% YoY)
• High operating leverage (31.9% margin)
• Above-market volatility (β=1.67)
• Sector: Technology | Industry: Semiconductor Equipment & Materials

3. Risk Factors
• Premium valuation (P/E: 55.6x)
• High market sensitivity in downturns

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MSFT	Microsoft Corporation	$2.97T	23.8x	16.0x	39.3%	+18.3%
GOOGL	Alphabet Inc.	$4.53T	28.4x	26.8x	37.9%	+21.8%
META	Meta Platforms, Inc.	$1.51T	21.7x	13.2x	32.8%	+33.1%
NVDA	NVIDIA Corporation	$5.14T	32.5x	29.8x	63.0%	+85.2%
AMAT*	Applied Materials, Inc	$468.36B	55.6x	48.5x	29.3%	+11.4%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.